

Annual Sales Performance Report

Fiscal Year 2025-2026 · Prepared by the Revenue Analytics Division · Confidential - Internal Use Only

1. Executive Summary

This report consolidates full-year commercial performance across all operating regions and product lines. **Total Revenue: 1,842,600.00** for the fiscal year, representing growth of 18% year over year. **Units Sold: 41,280** across all channels. The strongest single period was **Quarter: Q4 2025**, driven by enterprise renewals and expansion in the EU-North region.

Gross margin improved by 3.4 points to 61.2%, reflecting a favourable shift toward higher-tier subscription plans and a reduction in third-party data-transfer costs following the migration of workloads into the eu-north-1 region. Net revenue retention closed the year at 114%, up from 108% in the prior period, indicating healthy expansion within the existing customer base.

Management's assessment is that the growth trajectory is durable but increasingly dependent on the enterprise segment, which now accounts for a disproportionate share of both revenue and concentration risk. Section 7 discusses mitigation.

2. Market Overview

The addressable market for managed cloud and AI-enablement services expanded materially over the period. Demand was propelled by organisations modernising legacy document workflows, adopting retrieval-augmented systems, and consolidating fragmented vendor relationships. Competitive intensity increased in the mid-market tier, where three new regional entrants pressured pricing, while the enterprise tier remained comparatively insulated due to switching costs and procurement inertia.

Macroeconomic conditions were mixed. Currency volatility in South-Asian markets compressed reported revenue when translated to the reporting currency, partially offsetting unit growth. Regulatory tailwinds around data residency, however, benefited the regional footprint, as customers increasingly required in-region processing that the company was positioned to supply.

3. Revenue by Region

Regional performance is summarised below. EU-North retained its position as the largest contributor and posted the highest growth rate.

Region	Units Sold	Revenue	Gross Margin	QoQ %
EU-North	14,900	742,300.00	64.1%	+24%
EU-West	10,120	486,900.00	60.8%	+11%
Asia-South	9,540	372,100.00	57.3%	+19%
Americas	6,720	241,300.00	59.0%	-2%

EU-North's outperformance was concentrated in Q3 and Q4, when two multi-year enterprise agreements were signed. The Americas region contracted modestly, attributable to the loss of a single large logo and slower replacement pipeline conversion.

4. Product Line Breakdown

Revenue by product line reflects an accelerating mix shift toward the Pro and Enterprise tiers, which together now represent over 70% of total revenue despite comprising a minority of accounts by count.

Product Line	Accounts	Units Sold	Revenue	YoY %
Starter Plan	3,410	18,600	258,900.00	+4%
Pro Plan	1,920	14,880	731,400.00	+22%
Enterprise	540	7,800	852,300.00	+31%

The Starter Plan continues to serve as an efficient acquisition funnel, with a measured 11% annual graduation rate into paid Pro subscriptions. Enterprise average contract value rose to 1,578.00 per seat-year, a reflection of successful upselling of governance and security add-ons.

5. Quarterly Progression

The following table traces revenue and unit volumes across the four fiscal quarters. Sequential acceleration is evident from Q2 onward.

Quarter	Units Sold	Revenue	New Logos	Churn %
Q1 2025	9,120	392,400.00	210	4.8%
Q2 2025	9,880	431,700.00	244	4.1%
Q3 2025	10,410	478,200.00	268	3.6%
Q4 2025	11,870	540,300.00	301	3.2%

Churn improved steadily through the year, ending at 3.2% quarterly, the lowest level recorded. The improvement correlates with the rollout of the customer-success onboarding programme in the second quarter.

6. Customer Segment Analysis

Segmenting the base by industry reveals meaningful concentration. Financial services and healthcare together accounted for 46% of enterprise revenue, a level that warrants monitoring. Public-sector adoption remained nascent but showed encouraging pipeline signals following the achievement of regional compliance attestations.

Cohort analysis of accounts acquired in the prior fiscal year shows net revenue retention of 121% at the twelve-month mark, materially above the blended average, suggesting that recent-vintage customers expand more aggressively than legacy cohorts.

7. Risk Factors and Mitigation

Concentration risk. The enterprise segment now represents an outsized share of revenue. A loss of two or more top-ten accounts in a single quarter would materially affect results. Mitigation focuses on multi-year contracting and deepening product entrenchment.

Foreign-exchange risk. A growing proportion of revenue is billed in volatile regional currencies. The finance function has begun evaluating selective hedging for exposures exceeding defined thresholds.

Competitive pricing risk. Mid-market entrants continue to discount aggressively. The response is to compete on integration depth and support quality rather than headline price, preserving margin.

Operational risk. Rapid headcount growth in delivery functions has strained onboarding. Investment in internal tooling and documentation is planned to protect service quality at scale.

8. Outlook and Guidance

For the coming fiscal year, management guides to revenue in the range of 2,150,000.00 to 2,260,000.00, predicated on continued enterprise expansion and stabilisation of the Americas region. Unit volumes are expected to grow at a slightly slower rate than revenue as mix shifts toward higher-value contracts.

Capital allocation priorities for the year ahead are, in order: reinvestment in product and platform reliability, expansion of the regional data-residency footprint, and selective hiring in enterprise sales. No changes to the dividend policy are contemplated.

This report is provided for internal planning purposes and contains forward-looking statements subject to risk and uncertainty. Actual results may differ materially from those projected herein.